

Article | 7 August 2026

UNITED STATES

Surprise US job weakness casts serious doubt on Fed rate hikes

The US lost jobs in July and while the unemployment rate fell, it was for bad reasons. Rate hike expectations have declined, but there is a lot happening before the 16 September FOMC meeting



Construction was one of the few bright spots in an otherwise weak US jobs report for July

-23,000 US jobs lost in July

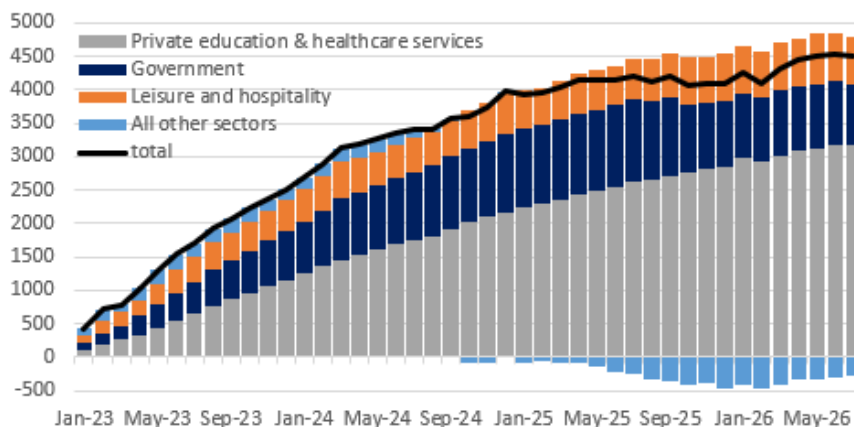
Employment fall highlights corporate caution

The US jobs report for July was surprisingly weak, with payrolls falling 23k while there were 103K of downward revisions to the past two months' data, leaving the 3M average at 20,000. The unemployment rate fell to 4.1% from 4.2%, but not for good reasons. It was primarily because of a further drop in the participation rate – unemployed people leaving the workforce entirely. Average hourly earnings growth slowed to just 3.2% year-on-year from 3.5%.

In terms of payrolls details, the leisure and hospitality sector lost 40k jobs, which may reflect the conclusion of the FIFA World Cup, but we had also seen a 43k drop in June when it was in full swing. The financial sector lost 14k roles while retail lost 19k. The offsetting strength was in

construction (+22k) and, as usual, private education and healthcare services (+25k). The chart below shows the cumulative job creation since December 2022 and indicates that, after a decent March and April, we have reverted to the very weak trend experienced from January 2025-February 2026.

Cumulative increase in US employment since December 2022 (000s)

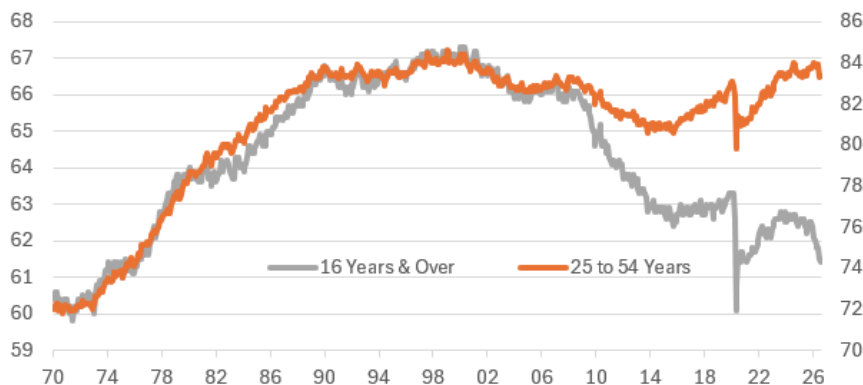


Source: Macrobond, ING

Disengagement drives a fall in participation

Regarding the drop in the unemployment rate and why this isn't the great news it seems, we have to look at the participation rate. It fell to 61.4%, which, outside the pandemic, we must go all the way back to the mid to late 1970s to find a lower reading. A quarter of a million people left the labour force last month. Within that, the number of people classifying themselves as employed fell 87k while the number of people classifying themselves as unemployed fell 178k. Therefore, the fall in the unemployment rate was caused by disengagement rather than for any positive reason. You can see that the participation rate has fallen by more than a full percentage point over the past year. If it had held steady, we would have a US unemployment rate in excess of 5%, and we would not be talking about a possible September rate hike from the Federal Reserve.

Labour force participation rates



Source: Macrobond, ING

What it means for the Fed outlook

Reaction has been significant, with 2Y yields down 8bp and the dollar softening, while Fed funds futures contracts are now only pricing 10bp of a potential 25bp hike on 16 September. Today's outcome supports our call for a prolonged pause from the Federal Reserve, but remember that ahead of the September FOMC meeting we have a further jobs report, two inflation prints and the Federal Reserve's Jackson Hole Symposium.

In terms of jobs, we would tentatively suggest a rebound is possible for August, but the Fed's decision is more likely to come down to what happens on inflation. We expect next week's July CPI expected to show headline prices rising 0.1% month-on-month and core prices rising 0.2%. Cooling housing-related inflation should pull the shelter CPI component lower, while weak wage growth and tariff refunds provide a cash flow boost to US companies, which should all help offset higher costs elsewhere. Assuming we get a deal to reopen the Strait of Hormuz, that can feed through into lower gasoline prices and keep the disinflation trend in place through to year-end and beyond.

While nine members of the FOMC suggested in June they think the Fed will have to hike rates, nine said they didn't (plus, presumably, Kevin Warsh). Now of the nine that think they will hike, we strongly suspect only three are voters this year, and they are already voting for a 25bp hike. That would, in theory, mean to deliver a rate hike, we would need to see inflation come in hotter than the nine who didn't think they would need to hike were anticipating. Given we are expecting encouraging news on disinflation, we are consequently expecting the Fed to remain on hold well into 2027.

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Article | 5 August 2026

Stablecoins 101: Uncertain growth but the stakes are high

Stablecoins saw significant growth in 2025, drawing attention from issuers and regulators alike. Still, their long-term prospects remain uncertain. In the first article of our new series, we explore what stablecoins are, what could drive adoption, and why their future matters



Despite a sharp expansion, stablecoins now account for only about 7% of the broader crypto market

Executive summary

Stablecoins have seen significant growth over the past few years, reaching nearly US\$300bn in market capitalisation at the end of 2025. This rapid expansion has come with heightened attention from both regulators and potential issuers. However, the future of the crypto asset remains uncertain as further growth depends on whether it can develop beyond the crypto-landscape and expand into the broader payment world.

In our view, part of the path to becoming a broadly adopted instrument depends on the presence of a regulatory framework and interoperability with existing payment systems. However, estimating the future growth of stablecoins is difficult, as it requires predicting their relative attractiveness compared with alternative payment systems such as central bank digital currencies and tokenised deposits in a rapidly evolving

market.

While the jury is still out on how widely stablecoins could be adopted, it is important to consider a scenario in which uptake becomes significant, as this could have serious implications for financial stability, the banking sector, emerging markets, and monetary policy.

Despite the growing attention, many questions remain about what stablecoins are, how they work, and what role they could ultimately play in the financial system. In this piece, we explain the fundamentals of stablecoins, review recent market and regulatory developments, and explore the factors that could shape their future adoption. While the market is evolving quickly, their long-term prospects remain highly uncertain. Their eventual role in payments and savings will depend not only on regulation but also on whether they can compete with existing and emerging forms of digital money. In future publications, we will examine the implications of broader stablecoin adoption in more detail.

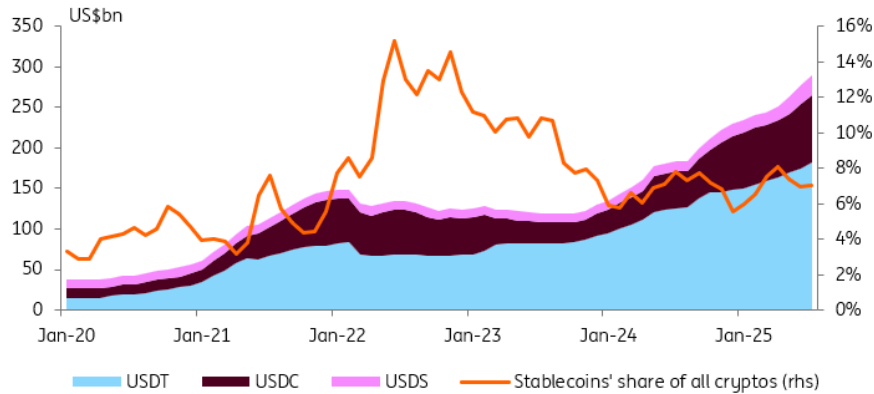
What are stablecoins?

Stablecoins are crypto assets issued by private institutions that promise a stable nominal value in a given currency, commodity or pool of assets. They are not issued or backed by a government or central authority but rather by a private institution and secured by segregated reserves. The crypto asset is issued on a Distributed Ledger Technology (DLT) (i.e. a blockchain) with three existing types of pegging mechanisms:

1. **Fiat-collateralised** stablecoins: backed 1:1 by reserves of cash or liquid assets. These are the most common and utilised type of stablecoin, currently representing over 90% of all stablecoins. We will focus on these in this piece.
2. **Crypto-collateralised** stablecoins: backed by over-collateralised crypto assets. The issuance of these stablecoins tends to be restricted by regulations such as the EU's Markets in Crypto-Assets Regulation (MiCAR).
3. **Algorithmic** stablecoins: not backed by real assets, but the peg to the chosen currency is maintained by a dynamic adjustment of the token's supply using algorithms or "smart contracts". Following the crash of the Terra project in 2022, algorithmic stablecoins now represent only a fraction of all stablecoins.

The total market capitalisation of stablecoins has surpassed US\$300bn globally, 99% of which is USD-pegged tokens. While still dwarfed by bank deposits, the rapid growth of the sector over the past five years (up by \$250bn) has drawn considerable attention. Despite the sharp expansion, though, stablecoins now account for only about 7% of the broader crypto market, a decline from their 2022 peak, as the market capitalisation of other cryptocurrencies has grown even faster.

Selected stablecoins' market capitalisation over time & share of all cryptocurrencies

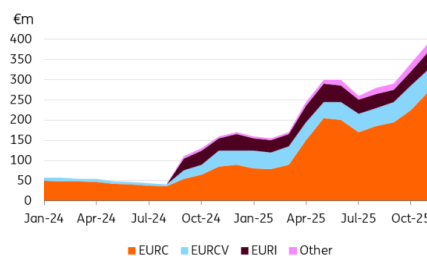


Source: ING Research, IMF / USDT = Tether, USDC = Circle, USDS = Sky Protocol

Euro-pegged stablecoins still only represent a fraction of all stablecoins in use, but their market capitalisation grew from €50m in early 2024 to nearly €400m at the end of 2025. Euro stablecoins remain in their infancy, accounting for only about 0.3% of the global stablecoin market despite recent progress.

Euro-pegged stablecoins remain at a nascent stage

Euro-pegged stablecoins' market capitalisation over time



Market capitalisation of stablecoins across currencies



Source: ING Research, ECB / EURC = Euro Circle, EURCV = Coinvertible, EURI = Eurite

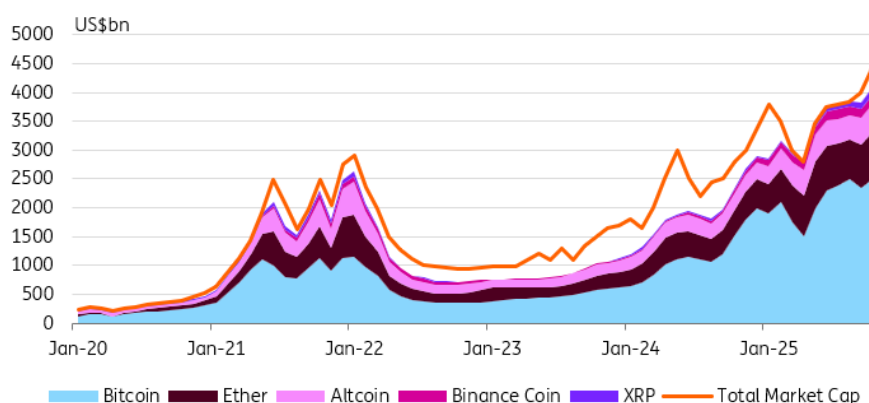
Available data shows that the use of stablecoins remains limited in the larger frame of global payments. Yet the sector's very rapid development over the past years suggests that could change. The new digital currency is forecast to grow exponentially, reaching anywhere between \$900bn and \$4.2tr by 2030. The wide variation in projections underscores just how hard it is to forecast the trajectory of stablecoins over the coming years. Indeed, **stablecoins' growth will depend on several factors: the regulation in place, interoperability with existing payment systems and, importantly, their use cases and relative attractiveness versus other payment systems (new or existing).** The next section delves into other technologies that could influence the growth (or lack thereof) of stablecoins.

How do stablecoins differ from other digital & crypto currencies?

Unbacked cryptocurrencies

Stablecoins are a form of crypto asset, but they differ from other cryptocurrencies by holding segregated reserves designed to maintain a one-to-one value with a chosen reference currency. This is not the case for “real” cryptocurrencies that are also issued and transferred using Distributed Ledger Technology (DLT) but not backed by liquid assets. These unbacked cryptocurrencies are, therefore, much more volatile and used mainly for investment and speculative purposes. Taken together, cryptocurrencies’ market capitalisation reached nearly \$4500bn at the end of 2025, about three times the level in early 2024.

Selected cryptocurrencies market capitalisation over time



Source: ING Research, IMF

Beyond stablecoins and unbacked cryptocurrencies, a new wave of digital currencies is gaining traction among both prospective issuers and regulators.

Tokenised assets

Tokenised assets are digital representations of real-world assets on a distributed ledger infrastructure. A wide range of underlying assets can be tokenised, including securities, bank deposits, and real estate.

Tokenisation is increasingly being explored for bank deposits, where the deposit itself is represented, stored, and issued on a DLT. Each token corresponds to a direct claim on a regulated commercial bank and remains on that bank’s balance sheet. Unlike stablecoins, tokenised deposits do not circulate as bearer instruments but are tied to identified account holders.

The usage of tokenised deposits currently remains limited and mostly experimental. However,

tokenised deposits can modernise payment and settlement infrastructures, as well as intragroup liquidity management. They promise faster settlement (near-instant, in fact), 24/7 transactions, programmability, and lower operational frictions (reducing reliance on multiple intermediaries). Tokenised deposits also offer regulatory advantages, as they remain fully within the existing supervisory framework; the underlying assets stay on commercial banks' balance sheets, preserving the same oversight and prudential standards applied to traditional deposits.

Central Bank Digital Currencies

Central Bank Digital Currencies (CBDCs) are digital forms of money that allow users to pay each other using a direct claim on the central bank. In other words, it aims to reinvent central bank money (cash and coins) in a digital form. CBDCs are often compared and opposed to stablecoins, but the main difference is their direct claim to the central bank. They are issued and maintained by the central authority, often but not systematically using DLTs.

CBDCs can be built for retail or wholesale use (for interbank settlements and large-value transfers). Only a few CBDCs are currently in use in the world (Bahamas, Jamaica, Nigeria and China with a large-scale pilot). But over 100 countries have projects to develop their own digital currency. This includes the EU, which is currently developing its own retail CBDC (the digital euro) and aiming for a 2029 launch. Read more on this in our piece [*The digital euro is making progress, European banks should pay attention.*](#)

In addition to the digital euro, the EU is looking at developing a wholesale DLT settlement strategy. The near-term project 'Pontes' will leverage existing T2 infrastructure and provide immediate central bank money settlement. It's expected to be launched in 3Q 2026. The European Central Bank also plans a full DLT-based wholesale CBDC ecosystem under the 'Appia' initiative, with a blueprint expected in 2028.

To summarise the four digital currencies discussed, the table below highlights the key differences across their main attributes.

Currencies comparison table

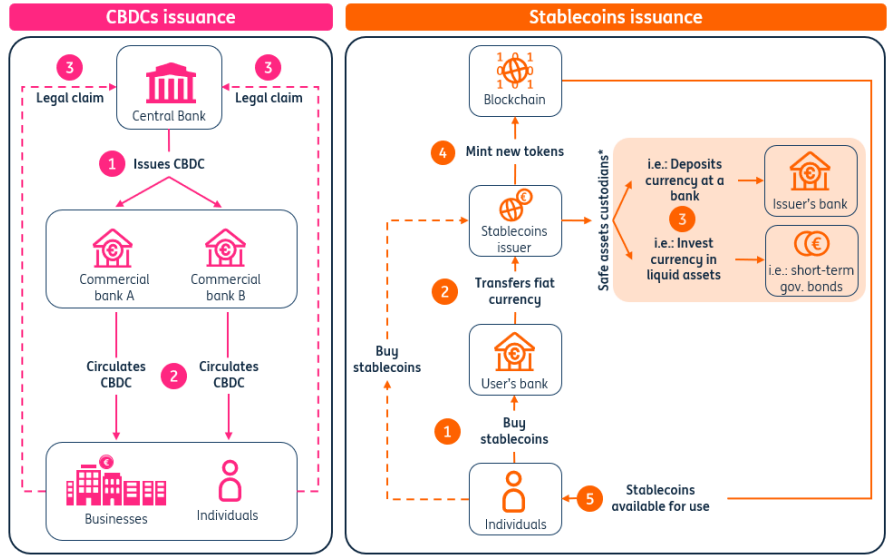
	Stablecoins	CBDCs	'Real' cryptos	Tokenised deposits	Bank deposits	Cash
Digital	✓	✓	✓	✓	✓	✗
Public	✗	✓	✗	✗	✗	✓
Blockchain use	✓	~	✓	✓	✗	✗
Programmable	✓	~	✓	✓	~	✗
Use without intermediaries	✓	~	✓	✗	✗	✓
Large price volatility	Limited by pegging mechanism	✗	✓	✗	✗	✗
Means of payment role	✓	✓	Not in the wider economy	✓	✓	✓
Unit of account role (used for invoicing)	✓	✓	Not in the wider economy	✓	✓	✓
Store of value role	Potential, especially if remuneration allowed	Not if implementation of holding limits	✗	Linked to real-world bank deposits	✓	✓
Regulation	Fragmented	National	Fragmented	✓	✓	✓

~ Possible ✗ No ✓ Yes

Source: ING Research

Both stablecoins and CBDCs aim to create a more digital and efficient means of payment, yet they are often portrayed as competing alternatives. Despite this, the two forms of digital money differ significantly. Their key differences can be illustrated through their issuance models, shown in the flowchart below.

CBDCs versus stablecoins issuance flow



Source: ING Research *examples of safe asset custodians, can vary depending on the regulation in place

The approach to stablecoins and CBDCs varies across the globe, with notable differences between the US and Europe. The transatlantic divide became increasingly apparent in the summer of 2025, when the US moved to support dollar-backed stablecoins while prohibiting the issuance of a CBDC. Europe has taken a different approach, arguing that a CBDC, the digital

euro, would enhance regulatory oversight through issuance and supervision by the European Central Bank.

Given the starkly different political approaches across jurisdictions, stablecoins are likely to evolve as primarily domestic or regional instruments, a dynamic that could shape and, potentially, constrain their overall growth potential.

For stablecoins to become systemically important, their use needs to extend beyond the crypto ecosystem into the broader, global, payments world. However, political positions are already signalling resistance to a global (dollar-pegged) stablecoin, with policymakers instead encouraging the development of multiple domestic stablecoins denominated in local currencies.

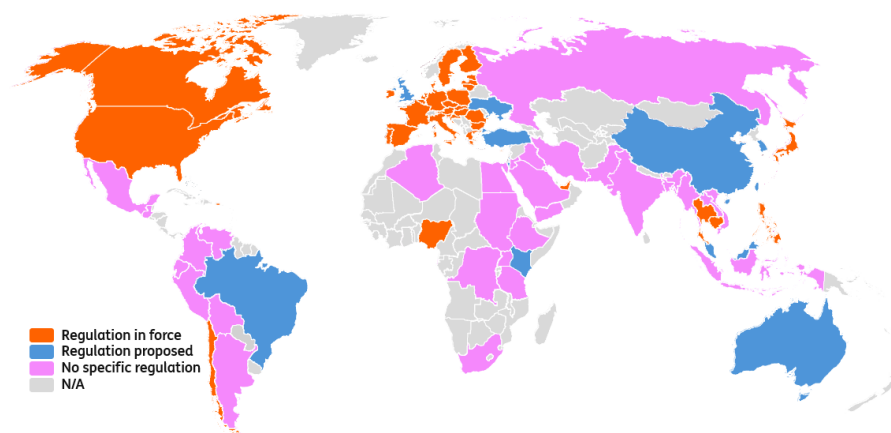
The absence of regulatory harmonisation reinforces this trend. Stablecoin issuers must adapt to each jurisdiction's rules, limiting cross-border scalability and undermining the emergence of a single dominant global stablecoin. The next section outlines the regulatory divergences across the US, EU, and UK.

Large regulatory differences and crucial remuneration uncertainty

Currently, 12 countries have stablecoin regulations in force, and another 10 have proposed texts that are not yet approved. The strongest stance against the issuance of stablecoins comes from China, where they're banned. This partly stems from the government's push for its CBDC; stablecoins are therefore viewed as direct competition.

The main laws are in place in the trading hubs, while other markets still lack specific stablecoin and crypto asset regulations. Despite recent developments at the national or regional level, there's an absence of international harmonisation and coordination on the topic.

Distribution of current stablecoin regulations worldwide



Source: ING Research, Visual capitalist

Because of the lack of international harmonisation on stablecoin oversight, existing regulatory frameworks diverge in several ways. The most important difference concerns the management of the safe assets. Indeed, issuers face various types and levels of restrictions for the segregated reserves. This could influence stablecoins' potential impact on the financial system.

Under US regulation (GENIUS Act), issuers must hold at least \$1 of permitted reserves for every \$1 of stablecoins issued. Permitted reserves include (but are not exclusively) cash, deposits held at commercial banks, short-dated treasury bills and other similar government-issued assets approved by regulators. The absence of specific limits or thresholds on each of these options gives USD-stablecoin issuers a relatively large degree of freedom to allocate their reserves.

This isn't replicated in the European legislation. MiCAR sets stricter requirements for E-Money institute issuers. These institutions (if systemic) are required to hold at least 60% of the safe assets as commercial banks' deposits (30% if non-systemic issuers). They're allowed to hold 40% of their reserves in liquid government bonds (70% if non-systemic issuers).

While the UK is still drafting its final stablecoin regulatory framework, the latest proposal includes restrictions on reserve investments. For systemic issuers, the Bank of England proposes prohibiting the use of commercial bank deposits and requiring that at least 30% of backing assets be held as non-remunerated central bank deposits. The remaining 70% could be invested in short-term government debt. The central bank argues that allowing commercial bank deposits as backing could introduce financial, operational, and contagion risks that could amplify a stress across the sector. Additionally, the UK is the first country to propose a temporary issuance guardrail for systemic issuers, limiting the amount of stablecoins issued to £40bn per issuer for an unspecified temporary period.

While myriad other divergences exist, we also note one convergence between the US, EU and UK regulatory frameworks: the ban on remuneration distribution. All three regimes prohibit stablecoin issuers from paying interest to holders. In the US, where broader crypto market legislation is still under negotiation, this restriction is heavily debated and could ultimately be revised.

Interest payments by stablecoin issuers remain prohibited in most jurisdictions. This restriction is central to the regulatory architecture, as it directly shapes stablecoins' appeal as a store of value and influences both adoption dynamics and its potential footprint in the broader financial system.

The table below summarises the main differences between the three regulatory frameworks. Read more on the various regulatory frameworks in the footnotes.

Summary of the US, EU and UK stablecoins regulatory frameworks

		US ¹ Genius Act	EU MiCAR		UK ² Regulation	
			E-money institute	Credit institution	Non-systemic issuers	Systemic issuers
1.	Access to central bank, lender of last resort	Case-by-case Fed decision	Forbidden	No restrictions		Bank of England considering backstop facility
	Central Bank deposit	Case-by-case Fed decision	Forbidden	Allowed	Allowed	Required i) ≥30% of assets; ii) upremunerated
2.	Asset investment policy					
	Commercial bank deposit	Allowed upper limit to be specified	Required ≥60% of assets (≥30% if non-systemic)	Allowed	Allowed	Forbidden
	Government bonds	Allowed ≤3m maturity	Allowed <40% of assets (<70% if non-systemic)	Allowed	Allowed	Allowed <70% of assets
3.	Stablecoins remuneration	Forbidden for issuer only	Forbidden for issuer and crypto-asset service providers (CASP)	Forbidden for issuer and CASP	Forbidden for issuer	Forbidden for issuer
4.	Issuance guardrail	None	None	None	N/A	Temporary £40bn

Source: ING Research, Fed, European Commission, BoE

1 US has three license levels: for a) bank and b) non-banks at federal level, and c) one at state level for smaller institutions. 2 Proposed UK-regime based on June 2026 proposal in Bank of England consultation

...driving the key uncertainty on stablecoins' uptake

Stablecoins' rapid growth over the past few years, in association with the lack of regulation, has raised concern for central banks across the world. Depending on future growth and use cases, stablecoins could have a significant impact on financial stability. For this to materialise, stablecoin use and adoption would have to go beyond the niche crypto-ecosystem and extend to the payment landscape.

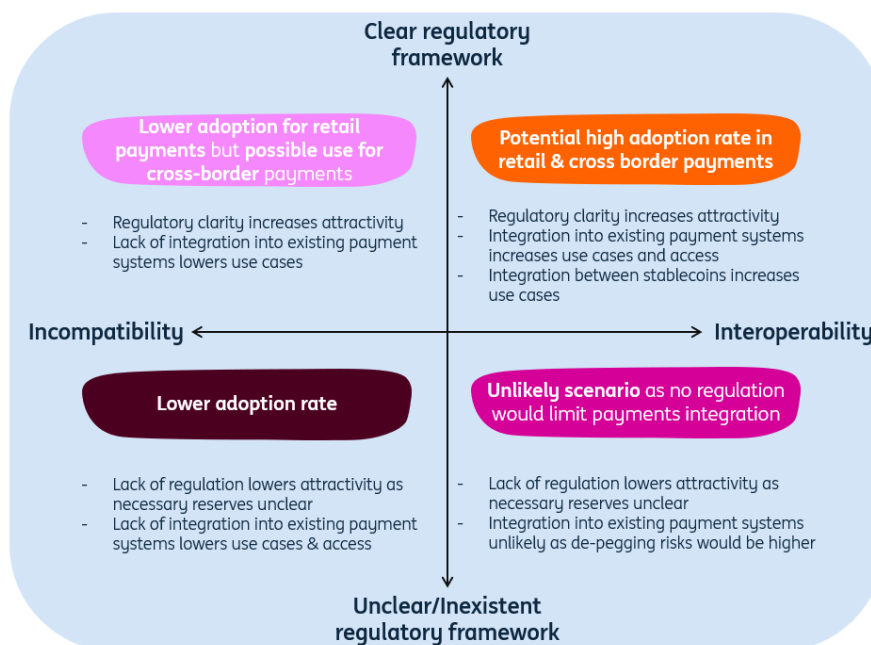
While stablecoins have grown significantly over the years, they are not currently "broadly

adopted". Currently, there's no set threshold determining what would constitute this broad adoption. Furthermore, the development of the crypto asset over the next few years remains unclear. In our view, the adoption uptake would depend on its use for two things:

- Payments
- As a store of value

Starting with the use of stablecoins in payments, there are three main variables. The first two factors are the presence of a regulatory framework and the degree of interoperability between stablecoins and existing payment systems. Mapping these variables produces a quadrant that illustrates four potential development paths for stablecoins.

Potential development of stablecoins in retail payments



Source: ING Research

A scenario with both a clear regulatory framework and full integration of stablecoins into existing payment systems would provide fertile ground for meaningful adoption in payments. However, the extent of such uptake depends on the third variable: the attractiveness of other payment systems (new and existing ones).

The existence and development of alternatives such as tokenised deposits and central bank digital currencies might limit the relative attractiveness of stablecoins. Even though payment systems in Europe remain relatively cheap and fast, that experience is far from universal internationally. For regions where payments are costly and slow, introducing new technologies such as tokenisation into existing systems could allow them to rapidly close the gap with the

advantages stablecoins offer, and potentially emerge as direct competitors to the crypto asset.

There is also a potential political push toward adopting central bank digital currencies, a dynamic relevant not only for jurisdictions with high payment costs but for the EU as well. The digital euro has become a central topic in the 'strategic payment autonomy' discussion and could directly compete with stablecoins for day-to-day payment use.

When it comes to the use of stablecoins as a store of value, a significant uptake would depend on two points:

- Whether direct remuneration by stablecoin issuers is allowed. The current ban on direct remuneration in major jurisdictions does little to support the use of stablecoins as deposit-like instruments, except in countries where real interest rates are negative. However, we can't exclude regulatory changes in coming years, especially as the topic is currently under discussion in the US with the upcoming Clarity Act. Read more on this in our regulatory footnotes below.
- The interest rate level paid on alternative deposit accounts (such as traditional bank deposits), as stablecoins could become more of a competitor to traditional deposit accounts in an environment where interest rates are zero or close to zero (which has been the case in the EU in recent years and is still the case in the US).

Only if, and with the right combination of these factors, could we foresee the adoption of stablecoins growing significantly to become broadly adopted. Yet, at present, it remains difficult to estimate the direction the crypto asset will follow in the years ahead.

Potential implications of stablecoins

Although stablecoins are not yet widely adopted and their future trajectory remains hard to pin down, our forthcoming articles will explore a scenario in which they scale enough to become a meaningful payment system. We see this as a necessary exercise: broad stablecoin adoption could carry significant and far-reaching implications for the financial system – spanning the banking sector, emerging market stability, safe asset demand, monetary policy transmission, and even geopolitical and cyber-risk dynamics.

Indeed, research has found that upon broad adoption, stablecoins could drive significant changes in banks' funding. Depending on the required reserves, this could translate into either a net drop in retail deposits or a switch from retail into wholesale deposits (as MiCAR requires stablecoin issuers to hold part of the reserves in EU commercial banks). Overall, it could make banks' funding structure more volatile as wholesale deposits are known to be less steady funding sources than retail ones (which are rarely moved across institutions). Also, wholesale deposits are costlier to hold for banks as the regulation imposes higher capital requirements, reflecting their higher volatility and general risk level.

Stablecoins could also have implications in emerging markets through currency substitution. It could amplify depreciation pressures under stress episodes by lowering friction around moving local currency into USD stablecoins. Countries with weak monetary credibility (i.e. high inflation, low interest rates) make stablecoins an attractive store of value and payment means, even outside stress episodes. The outflow to stablecoins could further undermine monetary policy transmission.

USD stablecoins also have the potential to boost demand for short-term US treasuries as issuers look for safe asset reserves. In principle, quick changes in transaction-driven demand could then amplify volatility in rates under a stress scenario. The proliferation of stablecoins (regardless of the currency) may also shift the composition of the overall monetary base with an asset reallocation from bank deposits into treasury/government bonds. This means potentially weaker monetary policy transmission through both the credit and interest rate channels.

While all these points remain theoretical implications of stablecoins, regulators are increasingly concerned and estimates on those impacts are developing. In future reports, we aim to contribute to the growing body of literature on this subject by diving deeper into each of these potential implications, seriously considering a scenario where stablecoins become a broadly adopted payment system.

Stablecoins are growing but the jury is still out on how big they'll get

Over the last few years, the market capitalisation of stablecoins has grown significantly, attracting the attention of both potential issuers and regulators across the globe. However, when it comes to the development of the crypto asset, it remains difficult to estimate an exact path. In our view, the growth of stablecoins in the coming years could be limited or strong depending on their uptake in both payments and as a store of value. Part of this growth to become a “broadly adopted” instrument depends on the existence of a regulatory framework and the interoperability with existing payment systems. The difficulty in estimating stablecoin growth comes from predicting the relative attractiveness versus alternative payment systems (new or old) as the sector quickly evolves.

It's important to consider a scenario where the use of stablecoins increases significantly, as this could have serious implications for financial stability, the banking sector, and emerging markets, as well as monetary policy. Therefore, in our upcoming series of articles, we will dive into potential impacts in more depth, starting with the implications of “broadly adopted” stablecoins for financial institutions.

Regulatory footnotes

The United States' GENIUS Act

Adopted in July 2025, the Guiding and Establishing National Innovation for US Stablecoins Act (GENIUS Act) establishes a regime to regulate US payment stablecoins. Despite the enforcement starting in January 2027, the mere adoption of the GENIUS Act had an immediate effect on USD-denominated stablecoins, with net stablecoin creation growing from about \$10bn in 2Q25 (before the regulation) to over \$45bn in 3Q25, a 324% increase in just a couple of months.

The regulation permits stablecoins to be issued by banks, credit unions and certain non-bank entities (although non-bank issuers are limited to financial firms unless the Stablecoin Certification Review Committee (SCRC) unanimously determines that they do not pose a risk to the banking or financial system).

Issuers face tailored capital, liquidity, and risk management rules but are not subject to the regulatory capital standards for “traditional” banks. Banks issuing stablecoins are regulated by the Federal Reserve, while non-banks fall under the Office of the Comptroller of the Currency (OCC) oversight.

Aside from permitted issuers, the GENIUS Act also clarifies stablecoin requirements. **Issuers must hold at least \$1 of permitted reserves for every \$1 of stablecoins issued.**

Permitted reserves include (but are not limited to) USD cash, deposits held at commercial banks, short-dated treasury bills and other similar government-issued assets approved by regulators.

Additionally, issuers of the digital currency must comply with several transparency and reporting requirements, including regular reporting on the reserve composition, and must run audits by public accounting firms. They are required to disclose the redemption procedures and comply with the US Bank Secrecy Act as well as tailored Anti-Money Laundering and Counter-Terrorism Financing (AML/CTF) rules.

The GENIUS Act also currently prohibits issuers from paying interest to stablecoin holders. However, the topic is open to discussion in the US as the proposed CLARITY Act (which aims to clarify the broader crypto asset regulatory landscape) could include the possibility for stablecoin issuers to distribute customer rewards.

The EU's Markets in Crypto-Assets Regulation (MiCAR)

MiCAR was adopted in 2023 and covers a wide range of crypto assets. The stablecoin rules gradually came into force through the end of 2024. They apply to both issuers and entities offering trading, custody, exchange and advisory on crypto assets. **MiCAR classifies crypto assets in three categories:**

- **Asset-Referenced Tokens (ARTs)**: stablecoins backed by a basket of assets such as fiat currencies or commodities
- **E-Money Tokens (EMTs)**: stablecoins pegged to a single fiat currency
- **Other crypto assets**: including decentralised cryptocurrencies and other tokens (not falling into the first two categories)

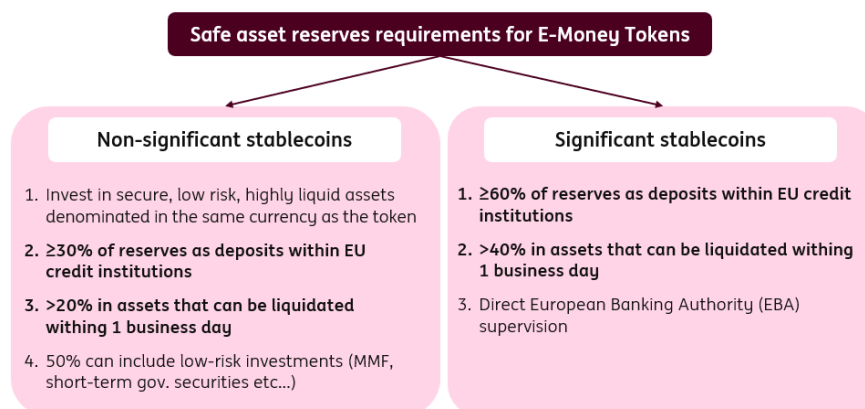
The regulation clarifies which entities are allowed to issue crypto assets in the Union, namely credit institutions and Authorised Electronic Money Institutions (EMIs). In addition, the EU differentiates cryptocurrencies by their size, including specific requirements for the largest assets.

Stablecoins are considered significant when (but not only):

- The **number of holders** is larger than **10m**
- The **value of the token** issued (market capitalisation or size of the reserve of assets) is higher than **€5bn**
- The **average number and transaction value per day** are higher than **2.5m and €0.5bn**, respectively

Under MiCAR, stablecoin issuers are required to have a legal entity established in the EU. The regulation sets out a list of requirements for stablecoins issued in the EU, starting with the prohibition on the distribution of interest on the tokens. It also establishes requirements for stablecoin reserves. For E-Money Tokens (EMTs) specifically, regulatory requirements differ depending on whether the issuer is classified as significant or not. The graph below summarises the safe assets requirements depending on the size of the stablecoin issuer.

MiCAR safe asset requirements per stablecoin issuer type



Source: ING Research, MiCA Regulation

Additionally, all issuers of stablecoins in the EU are subject to transparency and reporting requirements, including the publication of whitepapers on the token's functionality, risk and technology. Issuers must run quarterly stress testing and comply with the Union's AML/CTF

rules.

The UK's upcoming regulation

In June 2026, the Bank of England published a policy statement and draft rules for systemic stablecoin issuers. The BoE's approach to stablecoin regulation varies from existing frameworks as it plans to ban systemic issuers from holding part of their reserves with commercial banks.

The central bank argues that this decision is warranted by the financial, operational, and contagion risks that could arise between stablecoins and the broader financial system during periods of stress. This stance contrasts with the EU stablecoin regulation that requires issuers to hold part of their reserves as commercial bank deposits.

Issuers would therefore be required to hold at least 30% of the reserves in unremunerated BoE deposits and the remaining 70% in short-term UK government debt securities with a residual maturity of up to six months.

The draft rule sets aside the individual holding limit requirement announced previously and instead proposes a temporary issuance guardrail to mitigate risks to credit provision. Each systemic stablecoin issuer will be subject to an initial maximum issuance of £40bn. This limit would be reviewed, loosened and ultimately removed; the BoE doesn't include a timeline for such phasing out. If enforced as such, the UK would be the first country to officially regulate the amount of stablecoins issued, even on a temporary basis.

The proposal plans to require systemic stablecoin issuers to conduct an overall risk assessment to identify, monitor and mitigate risks. Additionally, it sets minimum capital requirements composed of six months of the issuer's relevant operating expenses or the cost of executing its recovery plan. It also requires notifying the central bank when its capital falls below 110% of the minimum requirements.

The Bank of England plans to install a statutory trust mechanism comprising two trusts: one to protect coinholders' interests and the other to cover the costs of returning value to them. Stablecoin issuers will thus be required to segregate the assets used for reserves and appoint third-party custodians to hold these. The proposal also includes a prohibition on the payment of interest and income to coinholders.

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Article | 4 August 2026

GERMANY

Low water levels are new setback for the German economy

Record low water levels in the Rhine could shave 0.3 percentage points off Germany's GDP growth this year



A heatwave in Germany has pushed Rhine water levels to record lows

Some might know that I used to be, and still am, a passionate rower. Rowing on Frankfurt's Main River is not always a pleasure. High water levels and strong currents in winter, combined with commercial river traffic throughout the year, do not make it an ideal place to train. That is, except when water levels are low.

For rowers, low water levels mean calm currents, flat water and very little traffic. Against this backdrop, I have witnessed the effects of climate change during the 12 years I have lived in Frankfurt: fewer periods of high water in winter and longer stretches of flat water in summer. Unfortunately, what has been good for my favourite hobby has become a clear risk for the German economy: low water levels.

Why the Rhine matters for German industry

Yesterday, my colleague Rico Luman [wrote about the impact of low water levels](#) in the Rhine and the consequences for supply chains. For Germany, however, the Rhine is not simply one transport option among many. It is a piece of industrial infrastructure around which much of German industry was physically built.

Roughly 285 million tonnes of freight move along the river annually, making it Europe's most

important logistics corridor after the open seas. It carries about 80% of all goods transported on Germany's inland waterways, while some 600 vessels cross the Dutch-German border every day. The corridor connects Rotterdam directly to three of Germany's largest industrial clusters: Rhine-Ruhr steel, Rhine-Main and the Ludwigshafen chemical complex.

This is no coincidence. The plants were built along the Rhine in the nineteenth century to benefit from barge transport and access to process water, and they have remained there ever since. When the Rhine runs low, the impact extends far beyond supply chains; it strikes at the heart of German industry.

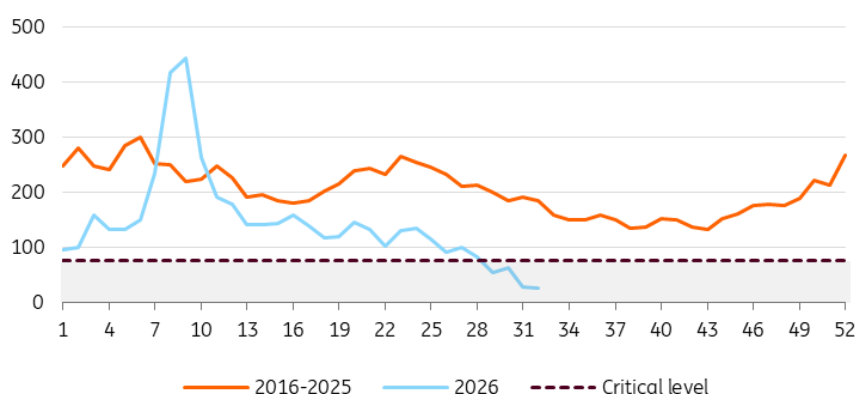
The Rhine's historic importance also means there are no real alternatives. Replacing a single barge can require up to 100 trucks or an entire freight train. And that's before taking into account Germany's well-known infrastructure challenges. Rail and road simply cannot provide a like-for-like substitute for Rhine transport. This is not to say that industry has not reacted to more frequent and longer periods of low water levels. Think of shallow-water barges and higher inventory levels.

Economic impact of low water levels

On Monday, the water level at Kaub fell to 24cm, the lowest level since records began in 1880. The last record low was 25cm in October 2018. This highlights how severe the current situation is. Normally, periods of low water occur between September and November, not in the middle of summer. Yet current forecasts for the next two weeks show little rainfall, suggesting that conditions are likely to worsen.

Water level in Kaub

(average per calendar week in cm)



Source: pegelonline.wsv.de

As the Rhine is home to crucial industries, the economic impact of supply chain constraints, and a potential reduction in production is much larger than the Rhine's c.6% share of total

German freight volume would suggest.

A 2020 Kiel Working Paper found that low water levels in the Rhine, particularly during the 2018 drought, affected the German economy through both transport and production channels. A full month of low water reduced inland shipping volumes by about a quarter, while industrial production fell by roughly 1%. Overall, the 2018 episode is estimated to have shaved around 0.3 percentage points off German GDP growth.

The risk is high that this time around, the economic impact will be larger. The low water levels at the start of August are unprecedented and fully out-of-sample when taking the Kiel paper as a proxy. Obviously, the economic impact now highly depends on the length of the current drought. A week of heavy rain could change the economic picture for the better immediately – even if this currently appears unlikely to happen. Unless the German government finds a reliable rainmaker, we should prepare to see a repetition of 2018 with a negative impact of at least 0.3 percentage points of GDP growth. This comes as a big setback given that the German economy has grown for three quarters in a row and was on track to reach annual GDP growth of some 0.8% this year. A blow to the recovery but not enough to ignite recession fears.

In any case, the negative economic impact will probably make my next outing less enjoyable. Or perhaps not. I may simply find myself humming R.E.M.'s *It's the End of the World as We Know It (And I Feel Fine)*.

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Article | 4 August 2026

TMT

Webinar: The AI race – who will fund and fuel the next wave?

AI is becoming one of the biggest investment, infrastructure and energy stories of our time. Join us to explore how the AI boom is being financed, what investors are watching, and whether power systems can keep pace with soaring demand. [Sign up here](#)



AI is no longer just a technology story. As investment and power needs surge, it has become a capital markets, infrastructure and energy story, too. The race to build AI capabilities is driving unprecedented spending on data centres, compute capacity and power infrastructure. This raises important questions for investors, policymakers and industry leaders.

In this webinar, we will explore how AI expansion is being financed, how investors are assessing the opportunity, and how energy systems can keep pace with growing demand.

You'll learn:

- Why accelerating data centre investment can remain sustainable
- What investors are watching across the largest technology companies
- How AI is reshaping capital markets and financing needs
- How data centres are transforming energy systems and local economies
- How power infrastructure can keep pace — and at what cost

[Click here to sign up](#)

Details

Date: Thursday 13 August

Time: 1400 BST/1500 CEST/0900 ET

The webinar will last 30 minutes, including Q&A.

The event will take place online and the waiting room will open 60 minutes ahead of the scheduled start time.

A joining link will be emailed following registration, and you will receive a reminder email 10 minutes before the scheduled start time.

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Article | 7 August 2026

TURKEY

Monitoring Turkey: Geopolitical relief to support disinflation

July data reinforced the downtrend in annual inflation, with risks from energy prices and geopolitics easing. Meanwhile, rising reserves and easing Gulf tensions are bringing the timing of the Central Bank of Turkey's liquidity easing into sharper focus



Turkey's economy at a glance

Better-than-expected July CPI data helped maintain a downtrend in the annual figure, though pricing pressures were relatively broad-based, with the impact of geopolitics, administrative hikes and unprocessed food leading to an increase in the seasonally adjusted monthly inflation. While the government's decision to gradually unwind the sliding scale mechanism adds to the challenges, the resumption of the Iran-US peace process, on the other hand, would ease geopolitical tensions and help oil prices return to prewar levels, which in turn would be supportive for the inflation outlook.

While all policy options continue to be available for the Central Bank of Turkey (CBT) with a clear intention of preserving flexibility in policymaking depending on changing geopolitical conditions, it has remained in a wait-and-see approach before deciding whether to reduce the effective cost of funding back towards the policy rate. A new deal in the US-Iran conflict

would create room for the bank to normalise the effective funding rate within August or September, depending on inflation and reserve dynamics. The baseline scenario still points to a policy rate move toward 35% in the final quarter.

The CBT's net foreign exchange position improved during June and July, supported by FX purchases of US\$14.8bn in June, adjusted for gold price effects and including exporters' surrender requirements, followed by a further \$9.0bn in July. Reserve accumulation is likely to continue, aided by gradual capital inflows and seasonal current account support.

To provide additional support for the corporate sector, the budget for the Investment Commitment Advance Loan programme has been increased from TRY 500bn to TRY 750bn, creating an additional TRY250bn in capacity, a new working capital support package of TRY 250bn has been announced, and a hike in the daily rediscount credit limit by TRY500mn is likely to provide roughly TRY125bn in additional annual gross lending capacity. As a result, the total increase reaches TRY625bn, translating into 3.1% of the total cash business loans.

Fitch Ratings affirmed Turkey's BB- long-term foreign-currency credit rating and stable outlook, in line with expectations, citing the country's low public debt, large and diversified economy, and resilient banking sector as key strengths, while noting that high inflation, limited external liquidity, substantial external financing needs, and risks to monetary policy credibility continue to constrain the rating. Moody's also completed its latest review of Turkey and, in line with expectations, affirmed the country's Ba3 credit rating and stable outlook.

Quarterly forecasts

	1Q26	2Q26	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F
Real GDP (%YoY)	2.5	2.6	3.4	3.5	3.8	4.0	4.2	3.7
CPI (eop, %YoY)	30.9	32.1	29.6	29.0	26.1	23.5	22.4	22.0
Central bank key rate (eop, %)	37.00	37.00	37.00	35.00	32.00	30.00	28.00	26.00
3m interest rate (eop, %)	47.18	42.98	38.31	34.56	31.85	29.77	27.78	25.33
10yr yield (eop, %)	33.51	33.21	32.64	30.66	28.98	26.46	25.54	24.37
USD/TRY exchange rate (eop)	44.42	46.64	49.17	52.00	54.81	57.58	60.31	63.00
EUR/TRY exchange rate (eop)	51.35	53.30	57.53	61.36	64.68	69.10	72.98	76.86

Source: Various sources, ING

FX and rates outlook

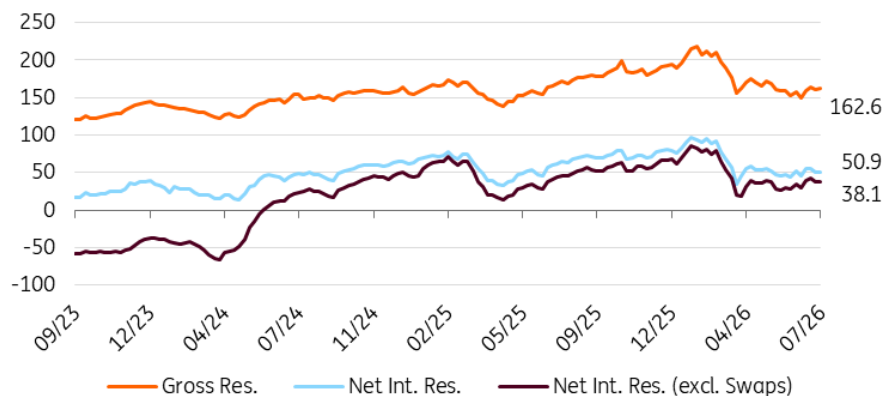
Last month, the Turkish lira experienced its largest monthly depreciation against the US dollar since July 2025, but attractive carry continues to support investor demand for the currency. Long TRY positioning has fully recovered to pre-US-Iran conflict levels, suggesting that confidence in Turkish assets and the broader macro framework is rebuilding. At the same time, FX reserves continue to recover gradually and remain in a comfortable territory, reinforcing external stability. Looking ahead, we expect carry trades to remain the dominant driver of FX flows and see little risk of any changes to the current FX policy regime in the foreseeable

future.

The rates market remains focused on the outlook for monetary easing, with investors pricing around 250bp of policy rate cuts by year-end, slightly above our forecast, and expecting the effective funding rate to converge towards the key policy rate by September. Since the market sell-off in May, trading has become more range-bound, while the central bank has continued to fund at the upper band as the repo window has remained closed since the start of the US-Iran conflict.

The yield curve has re-steepened back to levels seen before the conflict, reflecting improved sentiment and expectations of eventual easing. Further progress in inflation and a continuation of the disinflation trend will be needed for markets to price a more aggressive cutting cycle. However, the outlook remains highly dependent on developments in the US-Iran conflict given Turkey's significant exposure to energy prices and external shocks through higher oil costs.

CBT reserves (US\$ bn)



Source: CBT

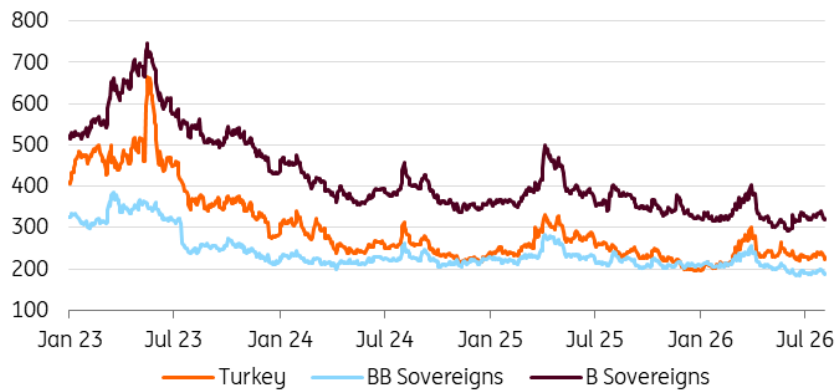
Sovereign credit views

Spreads on Turkey's dollar sovereign bonds have recovered from the sell-off earlier this year related to war in the Middle East and domestic politics, although they still remain at the wide end of the rating tier, with around a 40bp pickup over the BB average. Strong fiscal performance this year is balanced against a slight deterioration in the current account position, keeping fundamentals relatively stable, while the FX reserve picture has stabilised and the monetary policy stance remains cautious.

In terms of issuance, progress has been solid so far towards the full-year plan for Eurobond financing, although there remains scope for one or two more deals after the summer lull in the primary market. In this context, Turkish sovereign credit should remain relatively attractive for investors, in particular if there are positive developments in the US-Iran conflict, with the front

end of the USD curve offering the most interesting pickup over peers after recent curve flattening.

US\$ Bond Sub-Index Spreads vs USTs



Source: Refinitiv, ING

Annual inflation eases, but underlying pressures pick up

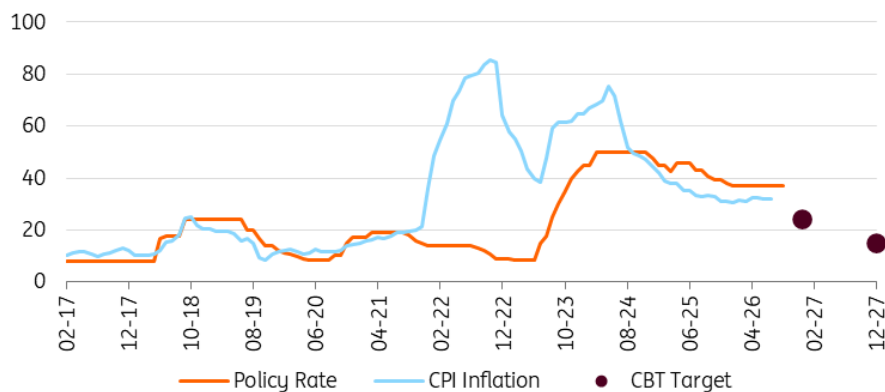
Monthly inflation in July was 1.8% vs the market consensus of 1.96%, while annual inflation maintained a downtrend to 31.8% (vs the CBT's target of 24% and forecast of 26% in the latest inflation report) from 32.1% a month ago. Despite unprocessed food and administrative prices pushing inflation higher, the positive surprise was attributable to some non-food groups last month. Pricing pressures, on the other hand, were relatively broad-based, leading to an increase in the seasonally adjusted monthly inflation.

Core inflation (CPI-C) rose 1.8% MoM, broadly in line with the increase recorded a year earlier, pushing the annual rate up to 29.9%. However, the central bank's managed exchange rate policy, which has kept nominal lira depreciation modest in recent months, helped contain the rise.

In other words, although the average increase in the USD/TRY stood at 1.7% in July compared to the previous month, its annual increase remaining at around 17% – significantly below inflation in the same period – indicates that the CBT has maintained its exchange rate policy, which continues to support the disinflation objective through the cost channel.

In July, PPI stood at 1.5% MoM and fell to 27.8% YoY, the lowest in the last five months, while more than half of the monthly increase was driven by electricity and gas production. Global commodity prices and particularly oil prices in the current geopolitical backdrop will remain the key risk factors to the PPI, which is on a gradual uptrend.

Inflation expectations and CBT forecast (12m- ahead, YoY%)



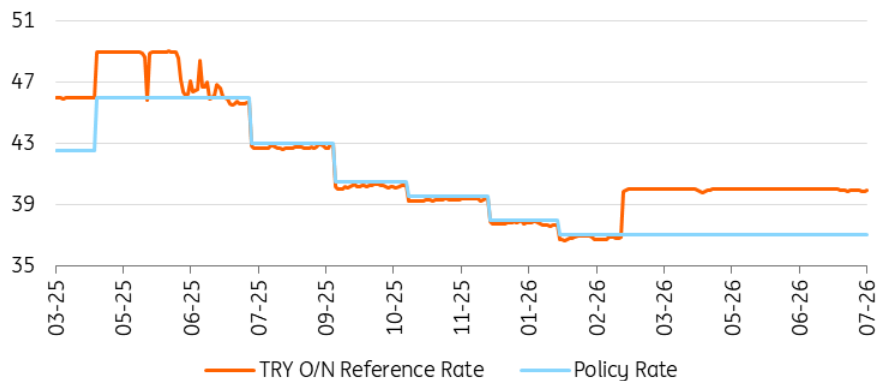
Source: CBT, Bloomberg, ING

Central Bank stays on hold, citing geopolitics

In the July meeting, the CBT kept its policy rate (1-week repo rate) unchanged again, leaving it at 37%, and the interest rate corridor stable with the upper and lower bands remaining at 40% and 35.5%, respectively, all in line with expectations. Accordingly, the bank has continued to fund from the upper band as the repo window has been closed since the start of the US-Iran conflict.

Before the reviving geopolitical tensions in the Gulf, the prevailing expectation was for the bank to ease through its liquidity tools and allow a drop in the effective cost of funding, either gradually or with full normalisation from 40% to 37%. The key reason for this was the decline in financial stability concerns and relative improvement in the expectations surrounding the macro outlook with the announcement of the US and Iran Memorandum of Understanding. However, the policy outlook shifted in mid-July with rising geopolitical uncertainty pushing oil prices close to US\$100 per barrel from the \$70-75 range seen during the ceasefire. In the MPC statement, pointing out a resuming uptrend in energy prices, the bank has maintained its cautious stance with the return of financial stability concerns.

The policy rate vs. interbank O/N rate



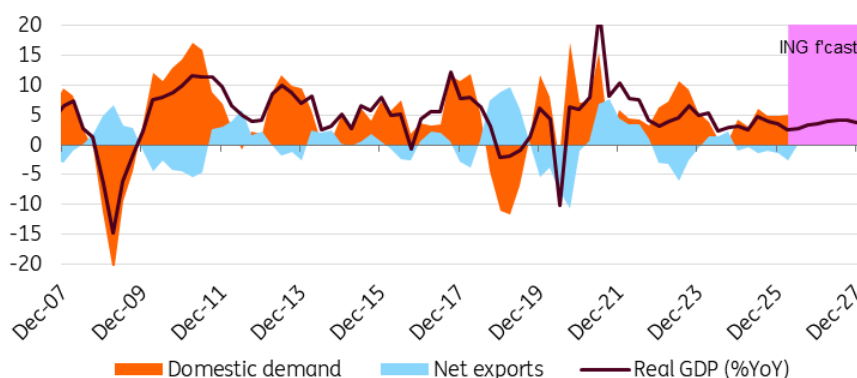
Source: CBT, Bloomberg, ING

Domestic demand continues to moderate

In the July MPC, the central bank acknowledged that recent leading indicators confirm ongoing weakening in domestic demand. Accordingly, elevated borrowing costs and recent further tightening in macroprudential measures seem to be translating into a more marked slowdown this year, with the deceleration in consumer loans and card spending. This should help prevent broad-based second-round effects from the energy price developments.

In July, the business tendency survey showed that manufacturing firms expect a significant weakening in domestic demand over the next three months, though they see some improvement in near-term external demand. Regarding sectoral confidence indices in July, demand expectations for the next three months signal some deterioration in retail trade and construction, though they showed a modest recovery in services.

Real GDP (%YoY) and contributions (ppt)



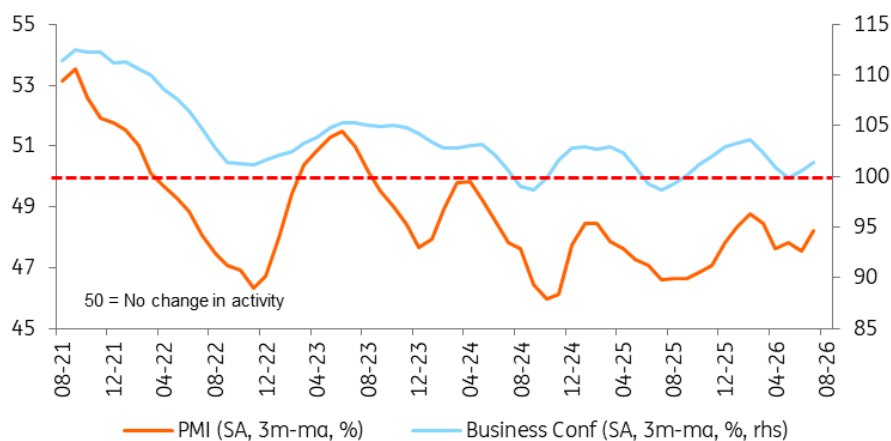
Source: TurkStat, ING

July PMI inched up into contractionary territory

The manufacturing sector PMI moved slightly up in July to 47.7 from 47.1 a month ago (on a seasonally adjusted basis). It has remained in contractionary territory, which has been the case for more than two years, pointing to long-standing challenges for manufacturers. In the breakdown, while the rate of inflation in input prices further eased to the slowest since November 2025, subdued demand suggested by slowing new orders led manufacturers to scale back their production in addition to their purchasing activity and inventories.

Findings in the sectoral PMIs reinforced the views related to the impact of the war on economic activity, as all 10 sectors except apparel and non-metallic minerals positioned below the 50 level. In comparison to a month ago, half of the sectors recorded PMI increases, supported by softening in inflationary pressures that, in return, supported increases in new orders and production.

PMI & Business Confidence



Source: ICI, CBT, ING

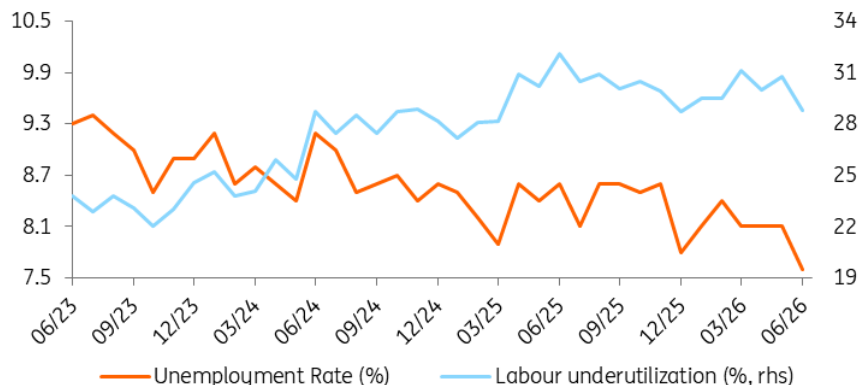
Unemployment rate falls to its lowest level since 2005

According to the seasonally adjusted data, the number of unemployed people fell by 168K from the previous month, reaching 2.7m. The unemployment rate declined by 0.5ppt on a monthly basis to 7.6%, marking the lowest level in the data series published since 2005. Meanwhile, the labour force participation rate stood at 52.9%. The data showed that the decline in the headline unemployment rate was attributable to the growth in employment outpacing the increase in the labour force.

Broader measures of unemployment also pointed to an improvement compared with the previous month. Among those, the inactive labour force rate, which comprises time-related underemployment, the potential labour force, and unemployed persons, dropped by 2.0ppt to 28.8% in June. Although this indicator is typically volatile, it has been on an upward trend for

some time.

Labour market outlook



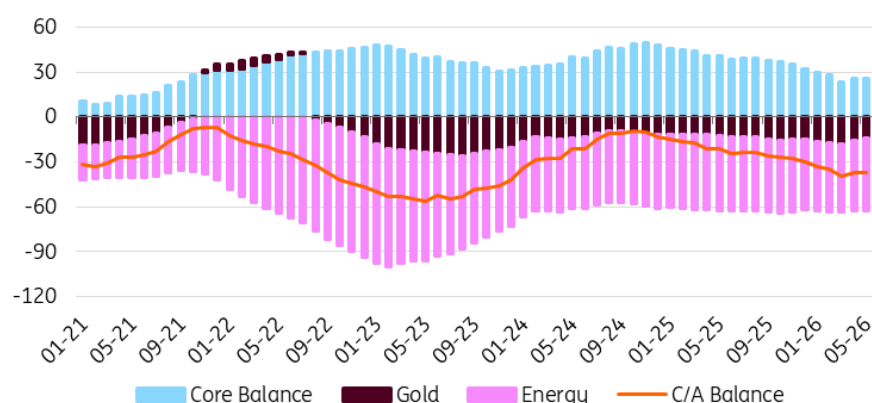
Source: TurkStat, ING

Higher-than-expected current account deficit in May

In May, the current account posted another deficit at \$1.5bn, exceeding expectations. Following the data, the 12-month rolling current account deficit reached \$37.3bn, or approximately 2.3% of GDP, from \$36.9bn a month ago. A closer look at the monthly figures shows a narrower goods deficit, a softer services surplus and a deteriorating primary income deficit. A narrower gap in goods trade, on the other hand, is driven by a higher energy bill due to the US-Iran war, despite the turn of the core trade deficit to a surplus and lower net gold imports. The trade data of a \$10.4bn deficit in June suggest further deterioration in the current account.

The capital account was weak, with net outflows at \$1.8bn. With almost flat net errors and omissions (at \$-0.1bn), and considering the current account deficit, official reserves recorded a US\$3.3bn fall in May.

Current account (12M rolling, US\$bn)



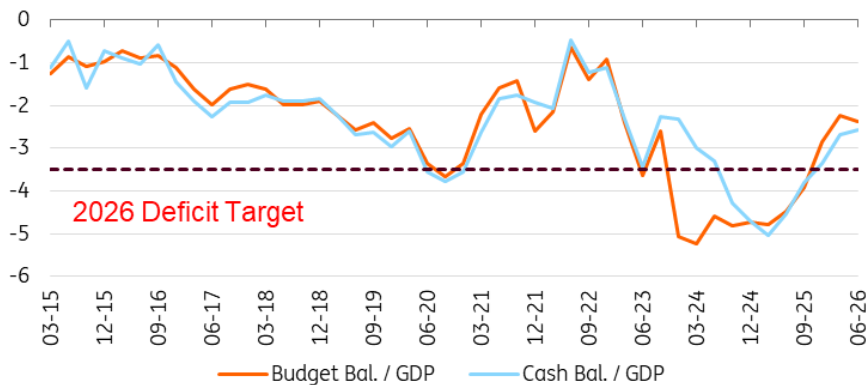
Source: TurkStat, CBT, ING

Strong June budget with strong income tax collection

The Central Administration budget balance showed a significant improvement in June, following some weakness in May. This is attributable to month-to-month shifts in tax collection timing supporting revenue performance in addition to a calendar effect related to the Bayram holiday. On a 12-month rolling basis, the budget deficit narrowed to -2.4% of GDP in June, from -3.1% in May, while the primary balance improved to a surplus of +0.9% of GDP from 0.4%.

Looking at June alone, tax revenues rose by 72% year-on-year, reflecting an acceleration in direct tax collection driven by income tax, while indirect tax generation remained modest due to losses in fuel-related taxes following the reinstatement of sliding scale tariffs. The government's decision to gradually unwind the sliding scale mechanism until October (by reducing the absorption rate of any rise in fuel prices through cuts to special consumption tax – SCT – from 75% to 50% through July and to 25% in August and September) would limit the erosion of SCT collections.

Budget performance



Source: Ministry of Treasury and Finance, ING

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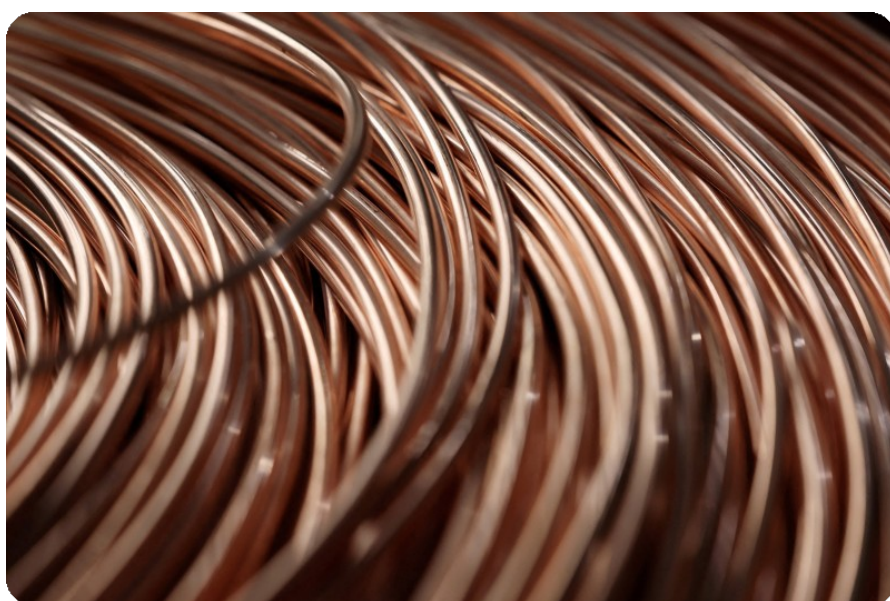
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Article | 7 August 2026

COMMODITIES, FOOD & AGRI

Could copper lose its tariff premium?

Copper has rallied sharply on expectations of US import tariffs, as traders rush metal into the US and physical markets tighten. With prices back near record highs, any policy disappointment could put that tariff premium to the test



Monthly US copper imports surged to a 12-year high of more than 200,000 tonnes in July ahead of potential tariffs

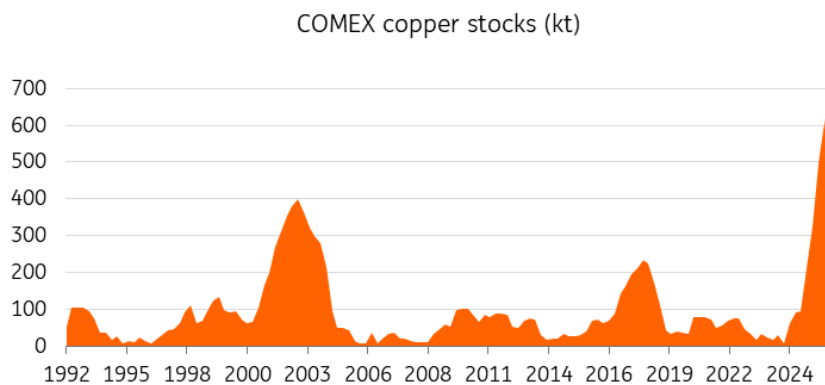
Copper is trading above \$14,000/t, close to its record high. At the same time, LME inventories have fallen further, and the cash-to-three-month spread has moved deeper into backwardation, highlighting increasingly tight physical market conditions.

In our June note, [What's next for US copper import tariffs?](#), we examined the possible policy outcomes. Since then, traders have continued to position for potential tariffs, with the impact becoming increasingly visible in trade flows, inventories and physical market indicators.

Tariff expectations remain a key market driver

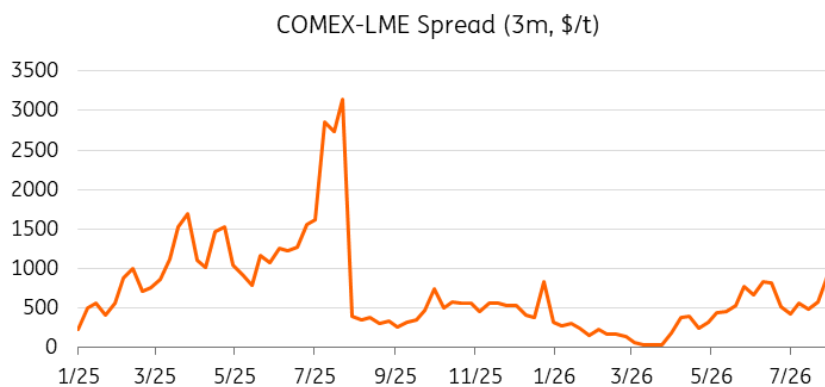
Copper shipments into the US have accelerated ahead of a potential tariff decision, pushing COMEX inventories to a record high. US copper imports exceeded 200,000 tonnes in July alone – the highest monthly level in at least 12 years.

COMEX inventories reach record highs



Source: COMEX, ING Research

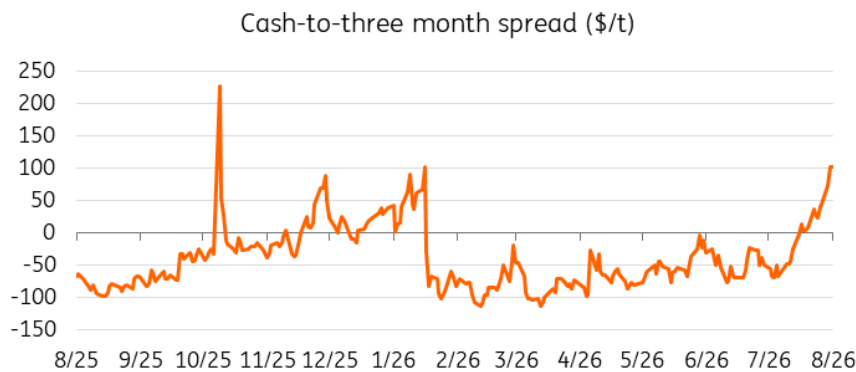
Wide COMEX-LME spread continues to attract copper into the US



Source: COMEX, LME, ING Research

At the same time, the London copper market is showing increasing signs of tightness. LME inventories have fallen to a five-month low, while the cash-to-three-month spread has widened to around \$120/t backwardation – up from about \$40 a week ago and the widest since October, pointing to a squeeze on short-term supplies.

Nearby copper market tightens



Source: LME, ING Research

LME inventories continue to decline



Source: LME, ING Research

Can tariff expectations continue to drive prices?

The recent rally is not solely tariff-driven, however.

Mine supply growth remains constrained, while low treatment charges continue to point to tight concentrate availability. Demand linked to electrification, power grid investment and AI infrastructure also remains supportive. We continue to expect the global refined copper market to record a deficit of around 35k tonnes in 2026.

Much of the recent rally reflects expectations that tariffs will be implemented broadly as expected. But if the final measures are delayed, narrower than expected or exempt refined copper, part of the recent rally could unwind. Stockpiling into the US would slow, inventory flows would begin to normalise, and some of the current tightness outside the US would ease. Any correction could be amplified if investors unwind positions built on tariff expectations.

The tariff decision is only part of the story

The prospect of US tariffs has already reshaped the copper market. Inventory flows have shifted, physical conditions have tightened, and prices have moved back towards record highs.

Much of that repricing has already happened. Once the tariff decision is announced, the market's focus is likely to shift back to underlying fundamentals.

That would not necessarily change the broader outlook for copper. Any correction would be more likely to reflect a reassessment of tariff expectations than a deterioration in the underlying fundamentals.

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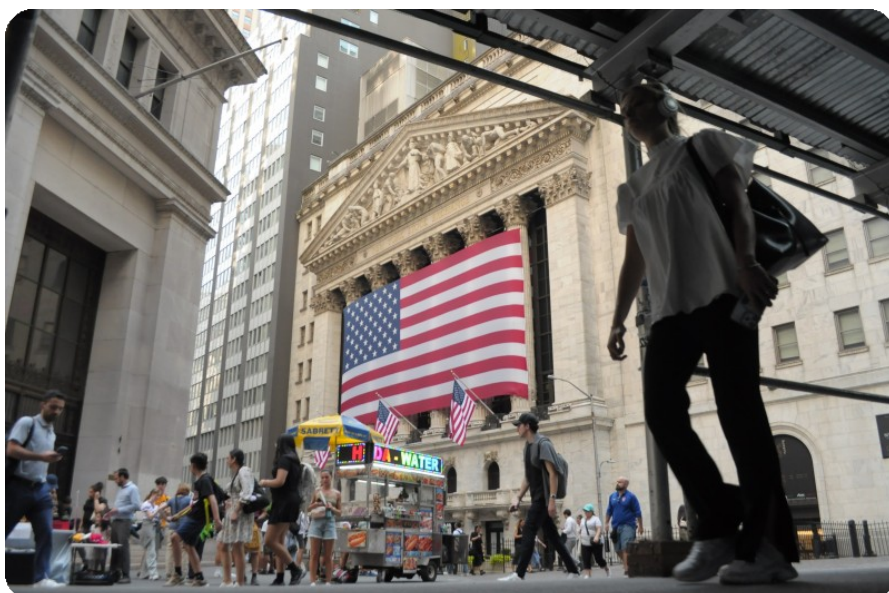
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FX

FX Daily: High-stakes payrolls

Kevin Warsh's ambiguity at the July FOMC means data releases like today's payrolls carry greater risks of an outsized market reaction. Our call (70k) is close to consensus (80k), with only a tick higher in unemployment to 4.3%, which could drive a small dollar drop. We are still looking at no Fed cuts and dollar softening going forward



Amid vague Fed communication, markets' attention has firmly shifted to today's non-farm payrolls release

We have published our August update of FX views and forecasts: [FX Talking: Caught between war and Warsh](#)

📉 USD: Unemployment rate can tick higher today

Our latest fair value models show that short-term rate differentials have become increasingly the predominant driver of USD moves of late. Federal Reserve Chair Kevin Warsh's ambiguous communication incidentally means more flexibility for markets to interpret data under the policy implication lens. That makes today's US jobs report potentially very important in determining whether September hike expectations are reinforced or unwound. Pricing has been remarkably stable at 14-17bp since the July FOMC.

Our macro team's call is 70k for July's payrolls today, a tad below the 80k consensus. We expect a modest rise in unemployment to 4.3% on a higher participation rate (consensus is 4.2%). This scenario could result in a slightly softer dollar, but should not drastically change markets' conviction levels about the September FOMC. A decisive break in the dollar may have to wait for next week's CPI release.

The dollar has regained a bit of ground into today's release. The main drivers were primarily some souring in risk sentiment and an oil rebound on poor Gulf headlines, but some precautionary dollar buying into today's data event might also have played a part. Last week, this dynamic amplified the negative dollar reaction to the FOMC.

For now, our call remains one of USD weakness in the next couple of months as we expect the Fed to stay on hold this year. But we see a greater chance that next week's CPI and the batch of August data will deliver a clearer dovish narrative to the front end and take the dollar more sustainably lower.

USD/JPY should prove to be the most sensitive G10 pair to the payroll release today. Markets are already rebuilding JPY shorts after the coordinated US-Japan intervention, and rising bets on a Bank of Japan September hike are doing little to help the yen. [We are targeting](#) a return to 160 in the next few weeks before returning to 158 by the end of the year on the back of our dovish Fed call.

Francesco Pesole

⬆️ **EUR: Growing volatility around US data**

In the past year, EUR/USD has moved on average 0.2% in the hour after the NFP release. The past two prints both saw moves of 0.4%, though, positive in July and negative in June. Those moves were also larger than in other recent instances with comparable payroll surprises.

That fits into our perception of greater data-related FX volatility under Warsh. And we suspect the market's sensitivity to the release could be even larger this time, given the lack of conviction about the Fed's September meeting.

In our baseline scenario, we expect EUR/USD to stick to a 1.150-1.155 range into next week's US CPI. Our [short and medium-term views are unchanged](#): we're still leaning bullish on EUR/USD with 1.16 one-month and 1.18 year-end targets.

Francesco Pesole

⬇️ **CAD: Downside risk for Canadian jobs data today**

Canada releases jobs figures at the same time as the US today. That often leaves USD/CAD reacting more to US figures. Incidentally, a dovish print for the Fed tends to see CAD trail other

pro-cyclical commodity currencies due to the correlation between USD and CAD rates. All this means the net impact of Canadian jobs data may need to be assessed in the crosses and with some caution.

Consensus is looking for another good print in Canada today: employment rising for a third consecutive month (+20k) and unemployment holding at 6.5% after June's decline. We do see some downside risks relative to consensus, but our perception is that markets remain too hawkish (18bp by year-end) on the Bank of Canada regardless of the jobs picture. We'd need to see that heating up quite materially to offset the otherwise muted inflation outlook.

We have not changed our USD/CAD forecasts significantly this month. We are expecting a gradual move to 1.38 by year-end on the back of USD weakness, but still see CAD trailing most other G10 currencies in the process.

Francesco Pesole

📉 CEE: Dovish signals are back in the driver's seat

Yesterday's Czech National Bank meeting delivered a dovish surprise for markets, with the new forecast pointing to unchanged rates and Governor Aleš Michl reinforcing that message. Although we had expected a dovish tone and unchanged rates at 3.75%, the magnitude of the surprise was reminiscent of the earlier end to the debate on possible rate hikes. After the meeting, markets priced out roughly half a hike, leaving expectations at around 1.5 hikes. This remains well above our unchanged-rate forecast and still makes Czech rates the second-most hawkish market in EMEA after South Africa. Given the dovish press conference, we expect markets to continue reducing tightening expectations. The global backdrop remains important, but we see pricing stabilising around one hike as protection against higher oil prices. In our view, the curve still has room to move lower, with a bias towards steepening.

EUR/CZK rose 0.2% to 24.235, but the moves in rates and the interest rate differential point to levels closer to the 24.250–24.300 range, which we see as the likely landing zone. Tomorrow's CNB meeting with analysts should generate more headlines. If the dovish tone is confirmed, the koruna is likely to face further weakening pressure.

In Hungary, inflation for July this morning dropped from 1.7% to 1.2%. The National Bank of Hungary had expected 1.9% in its June forecast; in turn, the deviation widened from 0.3ppt to 0.7ppt in the central bank's forecast. We expect a decrease in inflation across the board, which will be welcome news for the central bank. After the new wave of escalation in the US-Iran conflict, the market has priced out a large part of the easing and is currently pricing in about 90bp. Today's inflation number should therefore provide a signal for the market to return to more dovish pricing. EUR/HUF has returned to 365, the highest level since the elections, and global uncertainty around local energy supply problems will probably keep the forint weaker for a longer period.

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